

Assignment 3

(Information is the same with **Assignment 2**)

The trial balance of Large Company, Inc. at the end of its annual accounting period is as follows:

LARGE COMPANY, INC.

Trial Balance

December 31, 2019

Cash.....	\$ 4,000	
Prepaid Insurance.....	1,600	
Supplies	2,100	
Equipment	20,000	
Accumulated Depreciation—Equipment.....		\$ 2,000
C. Large, Capital		19,000
C. Large, Withdrawals	2,000	
Revenue.....		33,000
Salaries Expense	18,300	
Rent Expense	<u>6,000</u>	
Totals.....	<u>\$54,000</u>	<u>\$54,000</u>

Additional information:

1. Expired insurance, \$600.
2. Unused supplies, per inventory, \$800.
3. Estimated depreciation, \$1,000.
4. Earned but unpaid salaries, \$700.

Require:

Based on the adjusted trial balance you have finished in Assignment 2, please prepare the **closing entries** and the **after closing trial balance** for the LARGE COMPANY, INC for the year of 2019.

Answer 3

Closing Entries

Dr: Revenue	33,000	
Cr: Income Summary		33,000
Dr: Income Summary	27,900	
Cr: Salaries Expense		19,000
Insurance Expense		600
Supplies Expense		1,300
Depreciation Expense		1,000
Rent Expense		6,000
Dr: Income Summary	5,100	
Cr: C. Large, Capital		5,100
(提示: 33,000- 27,900=5,100)		
Dr: C. Large, Capital	2,000	
Cr: C. Large, Withdrawals		2,000

After Closing Trial Balance

LARGE COMPANY, INC. After Closing Trial Balance December 31, 2019		
	D	C
Cash.....	\$ 4,000	
Prepaid Insurance	1,000	
Supplies	800	
Equipment	20,000	
Accumulated Depreciation—Equipment.....		\$ 3,000
Salaries Payable		700
C. Large, Capital		<u>22,100</u>
Totals.....	<u>\$25,800</u>	<u>\$25,800</u>

(提示 : C. Large, Capital=19,000+5,100-2,000=22,100)